Without better support for the rationale behind disallowed costs, we could not determine if these costs were reimbursed consistent with the Comptroller's guidance. According to Defense officials, payments were made based on informed judgment, however they could not provide documentation to support each instance.

Defense Paid Costs That May Not Have Been Incremental

Comptroller guidance states that reimbursement claims must clearly indicate the incremental nature of the logistical and military support provided—i.e., that claimed costs are above and beyond the partner country's normal operating costs. However, we found that the Pakistani claims did not provide such information, which led to differences among Defense officials as to whether the claims should be disallowed or deferred until Pakistan could provide additional support.

Defense paid Pakistan $200 million in radar expenses from January 2004 through February 2007. For the March through June 2007 claims, ODRP recommended the Comptroller disallow the costs, reasoning that this was not an incremental expense, as terrorists in the FATA did not have air attack capability. However, the Comptroller took the position that Pakistan likely incurred some increased costs by using the radars to police the airspace over the Northwest Frontier Province (i.e., to patrol, monitor, and provide air traffic control) and provide air traffic control for U.S. military support flights into Afghanistan. The Comptroller nonetheless agreed that the claims lacked sufficient detail to determine whether these charges were definitively incremental. In the March through June 2007 claim package, the Comptroller chose to defer the air defense radar costs until Pakistan could provide better justification for the charges.

Defense May Have Paid Costs That Were Not Based on Actual Activity or Expenses

According to the Comptroller's criteria, both the Comptroller and CENTCOM are responsible for validating that claimed costs are associated with actual activities and are based on documentation that adequately accounts for the support provided. However, the documentation we reviewed as part of our audit did not provide sufficient support that all claimed costs were based on actual activity or expenses. For example, Defense paid more than $30 million for army road construction[17] and over $15 million for army bunker construction[18] without adequate support. Defense paid these costs despite a CENTCOM recommendation to disallow the claims for road construction in September and October 2006 due to insufficient documentation. For the most recent claims processed in February 2008, covering the months March 2007 through June 2007, concerns about the validity of these charges led ODRP to request that the Pakistani military provide the coordinates of the roads and bunkers built. As of June 2008, Pakistan had not provided this additional information, and Defense has not paid these costs.

We also found large unexplained differences between the average costs of food per person for each force, as shown in figure 4.

As figure 4 shows, navy monthly food costs per person were generally higher than monthly air force and army food costs per person. Navy claims for food rapidly increased from approximately $445 per sailor in June 2005 to $800 per sailor in December 2005, while air force and army food costs per person remained stable. Despite these anomalies, the Comptroller continued to pay the navy $800 per sailor for food until September 2006, when

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